AUTOMATIONX · COMPETITIVE INTELLIGENCE

CONFIDENTIAL — STRATEGIC REPORT

Suncor Energy Competitive Audit

Supply Chain & Competitive Intelligence Analysis · Energy Sector

TARGET COMPANY	INDUSTRY	REPORT DATE	BENCHMARKED AGAINST
Suncor Energy Inc.	Integrated Energy	April 7, 2026	3 Peers

SECTION 01

Executive Summary

Strategic overview, key risks, and high-priority opportunities for Suncor's leadership team

KEY INSIGHTS

→ Suncor commands ~20% of Canada's consumer fuel market via Petro-Canada

→ Revenue declined 3.5% YoY to $48.9B CAD in 2025; EBITDA down 8.6%

→ Vertical integration from oil sands to retail is a structural competitive moat

→ 91% of supply chain spend is Canada-based — low geopolitical risk

→ Investor Day (March 2026) confirms 100,000 BPD expansion target by 2028

STRATEGIC RISKS

→ EBITDA compression driven by lower WTI realizations and rising COGS

→ CNR's breakeven of ~$40/bbl WTI undercuts Suncor's cost position

→ Cenovus nearing 1M boe/d — scale convergence reducing Suncor's production lead

→ Competition Act amendments restrict Suncor's environmental messaging

→ Energy transition pressure threatening long-term oil sands economics

GROWTH OPPORTUNITIES

→ Canada's Electric Highway EV network positions Suncor for energy transition

→ SAF (Sustainable Aviation Fuel) production at Montreal Refinery is live

→ Upgrader replacement at Base Plant improves per-barrel margins

→ 5,212-vendor supply chain presents consolidation and cost-reduction upside

→ Digital supply chain & AI adoption can unlock $500M–$1B in working capital

$48.9B	$11.4B	41.4%	~20%	5,212
2025 REVENUE (CAD)	2025 EBITDA (CAD)	GROSS MARGIN	CANADIAN FUEL MKT SHARE	SUPPLY CHAIN VENDORS
▼ 3.5% YoY	▼ 8.6% YoY	Best-in-class	Via Petro-Canada	99.7% North America

SECTION 02

Target Company Overview

Suncor Energy Inc. — Canada's leading integrated energy company

Suncor Energy is a globally competitive integrated energy company headquartered in Calgary, Alberta. Unlike pure upstream producers, Suncor's vertical integration — from oil sands extraction through upgrading, refining, and retail distribution — creates a unique and defensible supply chain model. Its ownership of the Petro-Canada network (1,800+ locations) and Canada's Electric Highway positions it as the only Canadian energy company with a coast-to-coast consumer fuel and EV charging presence.

BUSINESS PROFILE

Business Model	**Integrated B2B + B2C**
Headquarters	**Calgary, Alberta, Canada**
Stock Exchange	**TSX: SU | NYSE: SU**
Market Cap (Apr 2026)	**~CAD $65B+**
Employees	**~13,700**
Retail Outlets	**1,800+ Petro-Canada stations**
CEO	**Rich Kruger**

CORE OPERATIONS & SEGMENTS

Oil Sands	**Base Plant, Fort Hills, MacKay River**
Offshore	**Hebron, Terra Nova (Atlantic Canada)**
Refining	**Montreal, Edmonton, Sarnia, Denver**
Retail / Wholesale	**Petro-Canada (Canada-wide)**
Low-Carbon	**SAF, EV Highway, Renewables**
Trading	**Crude, NatGas, Refined Products, Power**
Supply Chain Spend	**~91% Canada-based**

Value Proposition: Suncor's vertically integrated model — spanning upstream production, upgrading, refining, and retail — provides structural cost and margin advantages unavailable to pure-play oil sands producers. The Petro-Canada brand reinforces consumer-facing revenue diversification, while Canada's Electric Highway signals a credible energy transition hedge.

SECTION 03

Industry Overview & Value Chain

Canadian oil sands industry structure, key trends, and end-to-end supply chain mapping

The Canadian energy sector is dominated by oil sands production, which accounts for the vast majority of Canada's ~5M boe/d output. The top five operators — Suncor, Canadian Natural Resources (CNR), Cenovus, Imperial Oil, and ConocoPhillips — control approximately 85% of Alberta's oil sands production. In 2026, combined output from the big four (Suncor, CNR, Cenovus, Imperial) is projected at 3.9M boe/d, with 75% concentrated in Alberta's oil sands.

Suncor Supply Chain Value Chain (Plan → Source → Make → Deliver → Return)

KEY INDUSTRY TRENDS

Oil Sands Resilience	**Demonstrated durability at $40-50 WTI**
M&A Wave	**Mega-mergers reshaping competitive landscape**
Energy Transition	**SAF, EV, Low-carbon investment mandates**
Digitization	**AI, autonomous haul trucks, control towers**
Regulatory Pressure	**Competition Act, carbon pricing, GHG targets**
Pipeline Access	**TMX expansion improving export optionality**

MARGIN POOL DISTRIBUTION

Upstream (Oil Sands)	**Highest margin at scale (~$15-25/bbl)**
Upgrading	**Value-add of $5-10/bbl (SCO premium)**
Refining	**Moderate: $3-8/bbl crack spread**
Retail (Petro-Canada)	**Thin but stable, ~2-4¢/litre**
Trading	**Variable; provides cost optimization**
Bottleneck	**Upgrader reliability & turnaround frequency**

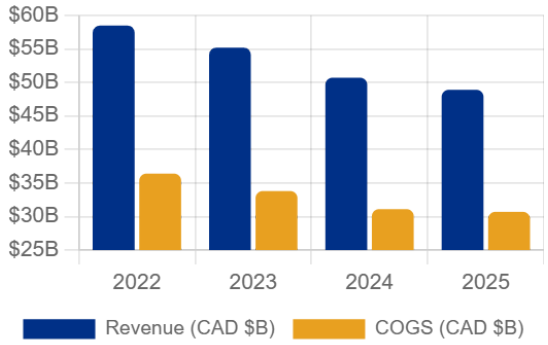
SECTION 04

Financial Analysis — Suncor

Revenue, margin, and supply chain working capital metrics (2022–2025)

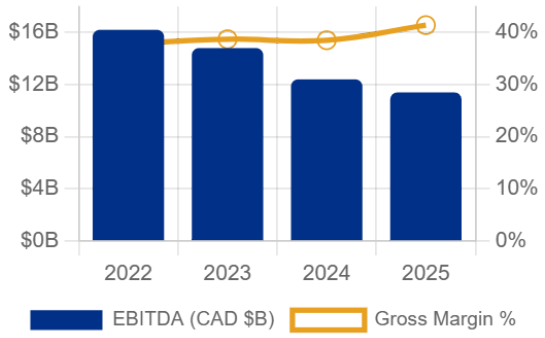
Revenue vs. COGS (2022–2025)

CAD Billions · Suncor Energy Inc.



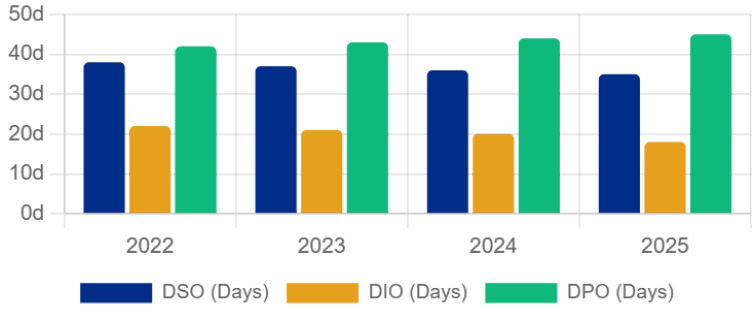
EBITDA & Gross Margin Trend

CAD Billions · EBITDA Bar | Gross Margin % Line



Working Capital Metrics (Estimated — Industry Proxies for Integrated Energy)

Days Sales Outstanding (DSO) · Days Inventory Outstanding (DIO) · Days Payable Outstanding (DPO)



~35	~18	~45	~8	~20x
DSO (DAYS)	DIO (DAYS)	DPO (DAYS)	C2C CYCLE (DAYS)	INVENTORY TURNS
Receivables turnover	Refined product inventory	Supplier payment terms	DSO + DIO – DPO	Integrated energy benchmark

SECTION 05

Competitor Deep Dive

Top 3 direct competitors in Canadian integrated / oil sands energy

Canadian Natural Resources (CNR)

Competitor #1

TSX: CNQ · NYSE: CNQ · Headquarters: Calgary, AB

2025 REVENUE (TTM)	NET DEBT / EBITDA	2026 PRODUCTION TARGET
~$27.6B CAD	~0.7x	1.6M boe/d

WTI BREAKEVEN	2026 CAPEX	GEOGRAPHIC SCOPE
~$40/bbl	C$6.2B	Canada · N. Sea · Africa

KEY STRENGTHS & DIFFERENTIATORS

- Lowest Breakeven Cost (~$40 WTI)
- Sole Owner – Albian Oil Sands Mine
- Record Production Target 1.6M boe/d
- Diversified Geography (UK, Africa)
- No Retail Downstream Exposure
- Low 0.7x Net Debt/EBITDA

CNR is Suncor's most formidable upstream rival. With the industry's lowest breakeven cost, record production ramp, and the acquisition of full control over the Albian oil sands mine, CNR presents a direct threat to Suncor's upstream cost-competitiveness. However, CNR lacks Suncor's integrated retail and refining downstream, making Suncor's full-value-chain model more resilient during commodity downturns.

Cenovus Energy

Competitor #2

TSX: CVE · NYSE: CVE · Headquarters: Calgary, AB

2025 REVENUE	Q4 2025 OPER. CASH	2026 PRODUCTION
~$49.7B CAD	~$2.4B	~985K boe/d

PRODUCTION GROWTH (2020→2025)	2026 CAPEX	KEY ACQUISITION (2026)
	$4.6–5.0B	MEG Energy

+109%		

KEY STRENGTHS & DIFFERENTIATORS

- Fastest-Growing Major Producer
- MEG Energy Acquisition Adds Scale
- Integrated Downstream (US Refineries)
- Aggressive M&A Strategy
- Higher Leverage vs. CNR
- No Consumer Retail Brand

Cenovus has doubled its production since 2020 and with the MEG Energy acquisition is approaching Suncor's scale. Its aggressive inorganic growth strategy via acquisition mirrors Suncor's historical playbook and creates direct competitive pressure. Cenovus's US refining footprint (Superior, Toledo, Lima) creates some downstream diversification, though it lacks Suncor's coast-to-coast retail brand.

Imperial Oil Limited

Competitor #3

TSX: IMO · Majority-owned by ExxonMobil · Headquarters: Calgary, AB

2025 REVENUE (TTM)	2025 FULL YEAR CASH FLOW	SHAREHOLDER RETURNS (2025)
~$34.6B CAD	CAD $6.7B	CAD $4.6B
STOCK PRICE (APR 2026)	**2026 CAPEX**	**RETAIL BRANDS**
CAD $180.30	$2.0B	Esso + Mobil

KEY STRENGTHS & DIFFERENTIATORS

- ExxonMobil Technology & Capital Backing
- Kearl Water-Reuse Technology (ESG)
- Esso/Mobil Dual Retail Brand Recognition
- Disciplined Capital Returns Program
- Smaller Production Scale vs. Suncor
- Less Agile (Parent Corp. Oversight)

Imperial Oil benefits from ExxonMobil's global technology and capital ecosystem, giving it an R&D advantage in operational innovation (e.g., Kearl water-reuse technology). Its dual retail brand strategy (Esso + Mobil) competes directly with Petro-Canada for consumer wallet share. However, its smaller production scale and parent company governance constraints limit its strategic agility relative to Suncor.

SECTION 06

Peer Benchmarking Dashboard

Side-by-side financial and supply chain comparison across all four companies

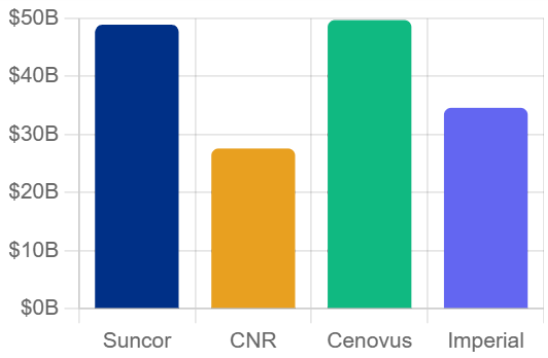
METRIC	SUNCOR (SU)	CNR (CNQ)	CENOVUS (CVE)	IMPERIAL (IMO)
2025 Revenue (CAD)	$48.9B	**$27.6B**	$49.7B	$34.6B
EBITDA (CAD, est.)	$11.4B	**$13.0B+**	$10.5B	$7.5B
Gross Margin %	**41.4%**	~38%	~22%	~30%
WTI Breakeven ($/bbl)	~$45	**~$40**	~$45	~$43
2026 Production (boe/d)	~780K	**1,600K**	~985K	~420K
2026 Capex	~$6.1B	**C$6.2B**	$4.6–5.0B	$2.0B
Net Debt / EBITDA	~1.1x	**~0.7x**	~1.3x	**~0.4x**
Retail Network	**1,800+ Petro-Canada**	None	None	Esso + Mobil
Supply Chain Scope	**Full Vertical Integration**	Upstream Only	Upstream + Refining	Upstream + Retail
DSO (Days, est.)	~35	~30	~38	**~28**
DIO (Days, est.)	~18	**~12**	~22	~16
DPO (Days, est.)	~45	~40	~48	**~50**
C2C Cycle (Days)	~8	**~2**	~12	~-6 (Favourable)

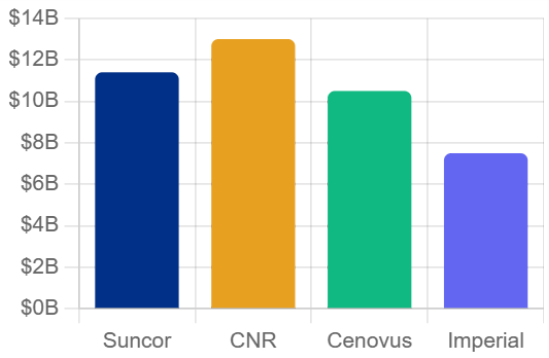
Revenue Comparison (2025, CAD Billions)

All four companies — full year 2025

EBITDA Comparison (2025, CAD Billions)

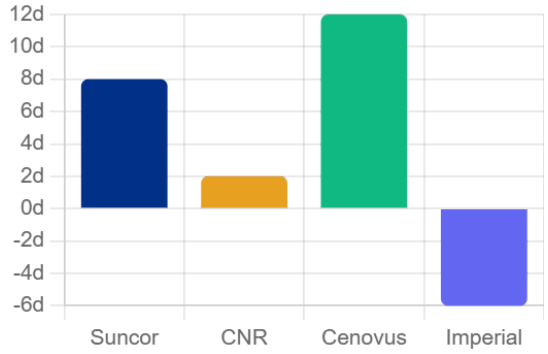
Estimated EBITDA across peer group





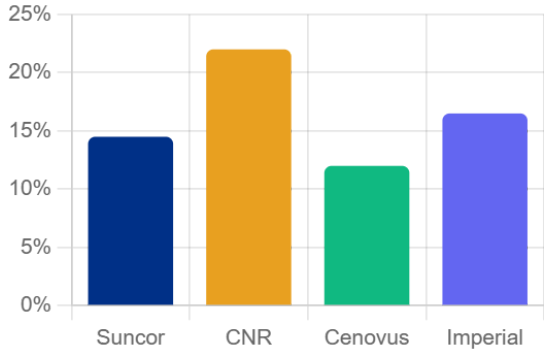
Cash-to-Cash Cycle Comparison

Lower is better — DSO + DIO – DPO (estimated days)



EBIT Margin Comparison (%)

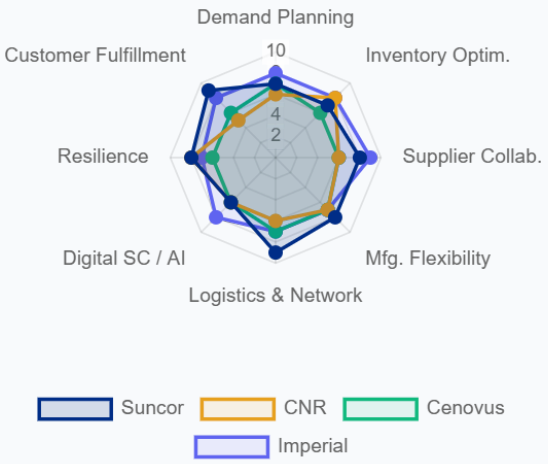
Estimated EBIT margin across peer group



SECTION 07

Supply Chain Capability Maturity

Score 1–10 across eight supply chain dimensions vs. top competitors



CAPABILITY	SUNCOR	CNR	CENOVUS	IMPERIAL
Demand Planning & Forecasting	7	6	7	8
Inventory Optimization	7	8	6	8
Supplier Collaboration	8	6	6	9
Manufacturing Flexibility	8	7	7	7
Logistics & Network	9	6	7	7
Digital SC (AI / Control Tower)	6	6	6	8
Resilience & Risk Mgmt	8	8	6	7
Customer Fulfillment	9	5	6	8

SECTION 08

Gap Analysis

Structured capability and operational gaps vs. best-in-class peer benchmarks

CAPABILITY / AREA	SUNCOR CURRENT STATE	BEST-IN-CLASS (PEER)	GAP	SEVERITY
Upstream Production Cost	~$45/bbl breakeven	CNR ~$40/bbl	$5/bbl cost disadvantage	High
Production Scale	~780K boe/d (2026)	CNR 1.6M boe/d	2x production gap vs. CNR	High
Digital Supply Chain (AI/Control Tower)	Limited AI adoption; manual scheduling	Imperial (ExxonMobil AI) — Score 8/10	2-point maturity gap vs. Imperial	High
EBITDA Margin Trend	EBITDA down 8.6% YoY in 2025	CNR — Low debt, stable EBITDA	Margin compression accelerating	High
Inventory Optimization (DIO)	~18 days DIO	CNR ~12 days	6 days excess inventory holding	Medium
Supplier Payment Terms (DPO)	~45 days DPO	Imperial ~50 days	5 days payable advantage gap	Medium
Demand Planning Accuracy	Score 7/10 — legacy systems	Imperial 8/10 (ExxonMobil tools)	Forecasting accuracy 1-point gap	Medium
Supplier Diversification	5,212 vendors, 91% Canada	CNR — Tighter, more optimized base	Vendor base potentially over-fragmented	Medium
Sustainability Communication	Restricted by Competition Act	Imperial — Kearl water tech publicized	ESG messaging gap vs. peers	Low
Offshore Production Optimization	Hebron + Terra Nova (Atlantic)	CNR — UK North Sea maturity	Offshore asset productivity gap	Low

SECTION 09

Strategic Recommendations

Top 10 prioritized initiatives — ranked by impact vs. effort, for CSCO / COO / CXO audience

QUICK WINS (0–30 DAYS)

REC #1

SKU Rationalization & Excess Inventory Reduction

Audit slow-moving & obsolete refined product SKUs across 4 refineries. Target 10% DIO reduction (from ~18 to ~16 days) to free ~$400M in working capital.

High Impact

REC #2

DSO Reduction via AR Automation

Implement e-invoicing and early payment incentives for Petro-Canada wholesale customers. Target DSO from ~35 to ~28 days, releasing ~$1.0B in receivables.

High Impact

REC #3

Renegotiate Key Supplier Payment Terms

Extend DPO from ~45 to ~52 days for top 500 strategic vendors. At Suncor's spend scale, every 5 days DPO = ~$500M+ in free float.

High Impact

MID-TERM (3–6 MONTHS)

REC #4

AI-Powered Demand Forecasting & S&OP Transformation

Deploy ML-based demand sensing across refining and retail segments. Target forecast accuracy improvement from ~75% to ~88%, reducing inventory buffer stock by 15%.

High Impact

REC #5

Vendor Base Consolidation Program

Rationalize from 5,212 to ~3,500 strategic vendors via category management. Target 5-8% procurement cost reduction (~$200-300M at Suncor's spend scale).

Medium Impact

REC #6

Upgrader Reliability Improvement Program

Build on coke drum replacement success at Base Plant. Reduce unplanned downtime by 20% to protect per-barrel operating cost advantage vs. CNR's $40 breakeven.

High Impact

STRATEGIC BETS (6–18 MONTHS)

REC #7

Deploy Integrated Supply Chain Control Tower

Build end-to-end supply chain visibility from well-head to pump. Connects upstream production, refinery throughput, logistics, and Petro-Canada retail in a single data layer. Closes 2-point digital gap vs. Imperial.

High Impact

REC #8

Scale SAF & Low-Carbon Fuels Production

Accelerate Sustainable Aviation Fuel (SAF) production at Montreal Refinery and pursue additional low-carbon refining conversions. Positions Suncor uniquely vs. all three competitors.

High Impact

REC #9

Dual-Source Critical Upstream Suppliers

Implement dual-sourcing for top 50 critical maintenance & reagent suppliers to reduce concentration risk. Target: no single vendor representing >5% of a category spend.

Medium Impact

REC #10

Expand Canada's Electric Highway as Revenue Stream

Monetize EV charging infrastructure via B2B fleet partnerships and subscription models. This transforms a CapEx

investment into a recurring revenue stream, hedging against gasoline demand erosion.

High Impact